Stochastic Finance and Risk Modelling

Chapter 1: From Probability to Stochastic Process

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Expanded Study Resource

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Introduction

This document serves as a comprehensive study guide for the course "Stochastic Finance and Risk Modelling". It expands upon the lecture slides relative to Chapter 1: "From probability to stochastic process".

The goal of this text is to provide a rigorous mathematical foundation required for modern financial modeling. We begin with the axiomatic definition of probability spaces and σ-algebras, move through random variables and their distributions, and finally establish key convergence results and the concept of conditional expectation, which is central to martingale theory and asset pricing.

Chapter 1

Topological Prerequisites

To fully leverage the power of measure theory in probability (especially constructing Borel σ-algebras and understanding convergence), we need a solid understanding of **Topology**.

A topology generalizes the notion of "closeness" and "limits" without necessarily needing a distance function (metric), although in finance we mostly work with metric spaces.

1.1 Metric Spaces

Definition 1.1 (Metric Space)**.** A **metric space** is a pair (M, d) where M is a set and $d : M \times M \to [0, \infty)$ is a distance function satisfying:

1. **Identity**: $d(x, y) = 0 \iff x = y$.
2. **Symmetry**: $d(x, y) = d(y, x)$.
3. **Triangle Inequality**: $d(x, z) \leq d(x, y) + d(y, z)$.

The most important building block in a metric space is the **Open Ball**.

Definition 1.2 (Open Ball)**.** The open ball of radius $r > 0$ centered at $x \in M$ is:

$$B(x, r) := \{y \in M : d(x, y) < r\}.$$

In $\mathbb{R}$ with the Euclidean metric $d(x, y) = |x - y|$, the open ball is simply the open interval $(x - r, x + r)$. In $\mathbb{R}^2$, it is the interior of a disk.

1.2 General Topology

While metric spaces are intuitive, the rigorous definition of "measurable events" relies on the more general concept of **Open Sets**.

Definition 1.3 (Topology)**.** A **topology** on a set Ω is a collection $\mathcal{T}$ of subsets of Ω (called **open sets**) such that:

1. $\emptyset \in \mathcal{T}$ and $\Omega \in \mathcal{T}$.
2. Any **union** (finite or infinite) of open sets is open.
3. Any **finite intersection** of open sets is open.

In a metric space, a set U is open if for every point $x \in U$, there exists some small ball entirely contained in U ($B(x, \epsilon) \subset U$).

1.2.1 Closed Sets

A set F is **closed** if its complement $F^c = \Omega \setminus F$ is open. **Intuition**: Closed sets "contain their boundaries".

Example 1.1. In $\mathbb{R}$:

- $(0, 1)$ is open.
- $[0, 1]$ is closed.
- $[0, 1)$ is neither open nor closed.

1.2.2 Closure, Interior, Boundary

For any set A:

- **Interior** A°: The largest open set contained in A.
- **Closure** $\bar{A}$: The smallest closed set containing A.
- **Boundary** $\partial A = \bar{A} \setminus A^\circ$.

Crucially, a set A is closed if and only if $A = \bar{A}$.

1.3 Continuity

In calculus, we define continuity using $\epsilon - \delta$. In topology, we have a much cleaner definition that connects directly to σ-algebras.

Definition 1.4 (Continuous Function)**.** A function $f : (X, \mathcal{T}_X) \to (Y, \mathcal{T}_Y)$ is **continuous** if the inverse image of every open set is open.

$$\forall V \in \mathcal{T}_Y, \quad f^{-1}(V) \in \mathcal{T}_X.$$

This definition explains why random variables are defined as measurable functions: variables are to σ-algebras what continuous functions are to topologies.

1.4 Important Properties for Probability

1.4.1 Separability

A topological space is **separable** if it contains a countable dense subset.

- $\mathbb{R}$ is separable because $\mathbb{Q}$ (rationals) is countable and dense in $\mathbb{R}$.
- **Why it matters**: Separability prevents the space from being "too big". It ensures that the Borel σ-algebra is well-behaved and that the support of a measure is unique.

1.4.2 Completeness

A metric space is **complete** if every Cauchy sequence converges to a limit within the space.

- $\mathbb{R}$ is complete (Cauchy sequences converge to real numbers).
- $\mathbb{Q}$ is not complete (a sequence of rationals can converge to $\sqrt{2} \notin \mathbb{Q}$).

1.4.3 Polish Spaces

A **Polish Space** is a separable, completely metrizable topological space.

- Examples: $\mathbb{R}$, $\mathbb{R}^d$, $C([0,T],\mathbb{R})$ (continuous functions, via Wiener measure).
- These are the "nice" spaces where modern probability theory lives.

1.4.4 Compactness

A set K is **compact** if every open cover has a finite subcover. In $\mathbb{R}^d$ (Heine-Borel theorem), a set is compact if and only if it is **closed** and **bounded**. Compactness is crucial for proving the existence of limits (Prohorov's Theorem talks about "tightness", which is compactness for measures).

Chapter 2

Probability Spaces and σ-algebras

2.1 Measurable Spaces

The foundation of rigorous probability theory lies in measure theory. Before we can talk about probabilities of events, we must strictly define what an "event" is. Not every subset of a sample space can consistently be assigned a probability, especially when dealing with uncountably infinite sample spaces like the real line $\mathbb{R}$.

Definition 2.1 (σ-algebra)**.** Let Ω be a non-empty set (the sample space). A collection $\mathcal{F}$ of subsets of Ω (i.e., $\mathcal{F} \subseteq 2^{\Omega}$) is called a **$\sigma$-algebra** (or σ-field) on Ω if it satisfies the following three axioms:

1. **Empty set**: $\emptyset \in \mathcal{F}$.
2. **Complement**: If $A \in \mathcal{F}$, then its complement $A^c := \Omega \setminus A \in \mathcal{F}$.
3. **Countable Union**: If $(A_n)_{n\geq 1} \subset \mathcal{F}$ is a sequence of sets in $\mathcal{F}$, then their union is also in $\mathcal{F}$:
$$\bigcup_{n\geq 1} A_n \in \mathcal{F}.$$

The pair $(\Omega, \mathcal{F})$ is called a **measurable space**. The elements of $\mathcal{F}$ are called **measurable sets** or, in the context of probability, **events**.

Remark 2.1. From these axioms, we can deduce other properties:

- The whole space Ω must be in $\mathcal{F}$ because $\Omega = \emptyset^c$.
- σ-algebras are closed under countable intersections. By De Morgan's laws:
$$\bigcap_{n\geq 1} A_n = \left(\bigcup_{n\geq 1} A_n^c\right)^c \in \mathcal{F}.$$

2.1.1 Examples of σ-algebras

1. **Trivial σ-algebra**: $\mathcal{F} = \{\emptyset, \Omega\}$. This is the smallest possible σ-algebra. It corresponds to having no information about the outcome of an experiment other than it happened.

2. **Power set**: $\mathcal{F} = 2^\Omega = \{A : A \subset \Omega\}$. This is the largest possible σ-algebra, containing every possible subset. While useful for discrete spaces (like rolling a die), it is often too large for continuous spaces like $\mathbb{R}$ to define a consistent measure (Vitali sets).

3. **Partition-generated**: Let $(A_i)_{i\in I}$ be a countable partition of Ω, meaning $\Omega = \bigsqcup_{i\in I} A_i$ (disjoint union). The σ-algebra generated by this partition consists of all possible unions of the sets A_i:

$$\mathcal{F} = \left\{ \bigcup_{j\in J} A_j : J \subseteq I \right\}.$$

This structure is very important in finance when modeling information flow in discrete time. If we know which partition element ω falls into, our information is described by this σ-algebra.

2.2 Generated σ-algebras

Often provided with a collection of sets of interest, we want to construct the smallest σ-algebra that allows us to measure them.

Definition 2.2 (Generated σ-algebra)**.** Let $\mathcal{C} \subseteq 2^\Omega$ be any collection of subsets of Ω. The σ-algebra generated by $\mathcal{C}$, denoted $\sigma(\mathcal{C})$, is the intersection of all σ-algebras containing $\mathcal{C}$:

$$\sigma(\mathcal{C}) := \bigcap_{\mathcal{F}\supset\mathcal{C}, \mathcal{F} \text{ is a } \sigma\text{-algebra}} \mathcal{F}.$$

It is the **smallest** σ-algebra containing $\mathcal{C}$.

2.2.1 Borel σ-algebra

In topological spaces, we want our algebraic structure (events) to be compatible with the topological structure (open sets, convergence).

Definition 2.3 (Borel σ-algebra)**.** Let (Ω, τ) be a topological space. The **Borel σ-algebra**, denoted $\mathcal{B}(\Omega)$, is the σ-algebra generated by the family of open sets $\mathcal{O}$ in Ω.

Case of $\mathbb{R}$ and $\mathbb{R}^d$

- On $\mathbb{R}$, $\mathcal{B}(\mathbb{R})$ is generated by open intervals $]a, b[$. It is the smallest family of sets containing all intervals that is closed under countable operations.

- On $\mathbb{R}^d$, $\mathcal{B}(\mathbb{R}^d)$ is generated by open rectangles (or "hyper-rectangles"):

$$\prod_{i=1}^{d}]a_i, b_i[= \{\omega = (\omega_1, \ldots, \omega_d) \in \mathbb{R}^d : a_i < \omega_i < b_i, \forall i\}.$$

Note that while $\mathcal{B}(\mathbb{R}^d)$ contains almost any set we can construct explicitly, there do exist non-Borel sets (though they are pathological).

2.2.2 Product σ-algebra

When dealing with multiple random variables or stochastic processes, we work with Cartesian products of spaces.

Let $((\Omega_n, \mathcal{F}_n))_{n\geq 1}$ be a sequence of measurable spaces.

- **Finite Product**: For a finite number of spaces $\Omega_1 \times \cdots \times \Omega_n$, the product σ-algebra $\mathcal{F}_1 \otimes \cdots \otimes \mathcal{F}_n$ is generated by "rectangles" of the form:

$$A_1 \times \cdots \times A_n, \quad \text{where } A_i \in \mathcal{F}_i.$$

  Important property: $\mathcal{B}(\mathbb{R}) \otimes \cdots \otimes \mathcal{B}(\mathbb{R}) = \mathcal{B}(\mathbb{R}^n)$.

- **Infinite Product**: For the infinite product space $\prod_{n\geq 1} \Omega_n$, the product σ-algebra $\bigotimes_{n\geq 1} \mathcal{F}_n$ is generated by **cylinders** with a finite basis. A measurable cylinder is a set of the form:

$$C = \{\omega \in \prod \Omega_n : \omega_{i_1} \in A_{i_1}, \ldots, \omega_{i_k} \in A_{i_k}\}$$

  where only a finite number of coordinates $i_1, \ldots, i_k$ are restricted to subsets $A_{i_j} \in \mathcal{F}_{i_j}$, and all other coordinates are free (i.e., in Ω_m). This definition is crucial for defining stochastic processes as random variables taking values in spaces of functions sequences.

2.3 Probability Measures

Definition 2.4 (Measure)**.** A map $\mu : \mathcal{F} \to [0, \infty]$ is called a **measure** if:

1. $\mu(\emptyset) = 0$.
2. **σ-additivity**: For any sequence $(A_n)_{n\geq 1} \subset \mathcal{F}$ of **pairwise disjoint** sets,

$$\mu\left(\bigcup_{n\geq 1} A_n\right) = \sum_{n\geq 1} \mu(A_n).$$

Definition 2.5 (Probability Measure)**.** A measure $\mathbb{P}$ is a **probability measure** if it satisfies the normalization axiom:

$$\mathbb{P}(\Omega) = 1.$$

The triplet $(\Omega, \mathcal{F}, \mathbb{P})$ is called a **probability space**.

We denote the set of all probability measures on $(\Omega, \mathcal{F})$ as $\mathcal{P}(\Omega, \mathcal{F})$.

2.4 Support of a Measure

The concept of support formalizes the idea of "where the probability mass lives".

Definition 2.6 (Support)**.** The **support** of a measure μ, denoted $\text{supp}(\mu)$, is the closed set in Ω such that:

1. The measure of its complement is zero: $\mu(\Omega \setminus \text{supp}(\mu)) = 0$.

2. For any open set G such that $G \cap \operatorname{supp}(\mu) \neq \emptyset$, we have $\mu(G \cap \operatorname{supp}(\mu)) > 0$.

Essentially, it is the smallest closed set that carries all the mass of μ. If measurement values fall outside the support, it is an "impossible" event (probability 0).

For a Polish space (separable, completely metrizable, like $\mathbb{R}^d$), the support is unique and given by:

$$\operatorname{supp}(\mu) = \Omega \setminus \bigcup \{V : V \text{ is open and } \mu(V) = 0\}.$$

Chapter 3

Random Variables and Distributions

3.1 Random Variables

A random variable is, somewhat counter-intuitively, not a variable but a function. It connects the abstract world of the probability space $(\Omega, \mathcal{F}, \mathbb{P})$ to a concrete numerical space (usually $\mathbb{R}$ or $\mathbb{R}^d$) where we can perform calculations.

Definition 3.1 (Random Variable)**.** Let $(\Omega, \mathcal{F})$ be a measurable space and $(\Sigma, \mathcal{G})$ be another measurable space (often $(\mathbb{R}^d, \mathcal{B}(\mathbb{R}^d))$). A map $X : \Omega \to \Sigma$ is called a **measurable function** or **random variable (r.v.)** if the pre-image of every measurable set in Σ is a measurable event in Ω:

$$X^{-1}(B) := \{\omega \in \Omega : X(\omega) \in B\} \in \mathcal{F}, \quad \forall B \in \mathcal{G}.$$

This condition ensures that questions like "What is the probability that X falls in region B?" are well-defined, because $\{X \in B\}$ is an event in $\mathcal{F}$, on which $\mathbb{P}$ is defined.

3.2 Distributions and Pushforward Measures

When we observe a random variable X, we effectively transport the probability mass from Ω to the target space Σ.

Definition 3.2 (Pushforward Measure / Law)**.** Let X be a random variable from $(\Omega, \mathcal{F}, \mathbb{P})$ to $(\Sigma, \mathcal{G})$. The **pushforward measure** of $\mathbb{P}$ by X, denoted $X_{\#}\mathbb{P}$ or $\mathbb{P}_X$, is a probability measure on $(\Sigma, \mathcal{G})$ defined by:

$$\mathbb{P}_X(B) := \mathbb{P}(X^{-1}(B)) = \mathbb{P}(X \in B), \quad \forall B \in \mathcal{G}.$$

This measure $\mathbb{P}_X$ is called the **law** or **distribution** of X.

In simpler terms, the distribution $\mathbb{P}_X$ tells us how the randomness is distributed on the value space (e.g., the real line), ignoring the underlying details of Ω.

3.3 Expectation and Integration

Definition 3.3 (Expectation)**.** The expectation of a random variable $X : \Omega \to \mathbb{R}^d$ is defined as the Lebesgue integral of X with respect to the measure $\mathbb{P}$:

$$\mathbb{E}[X] := \int_\Omega X(\omega)\, \mathbb{P}(d\omega).$$

3.3.1 Theorem of Transport (Transfer Theorem)

This fundamental theorem allows us to compute expectations without working directly with the abstract space Ω. We can work solely with the distribution of X on $\mathbb{R}^d$.

Theorem 3.1. *Let $X : \Omega \to \Sigma$ be a random variable and $g : \Sigma \to \mathbb{R}$ be a measurable function. Let $Y = g(X)$. Then Y is integrable (i.e., $Y \in L^1(\Omega)$) if and only if $g \in L^1(\Sigma, \mathbb{P}_X)$. In this case:*

$$\mathbb{E}[g(X)] = \int_\Omega g(X(\omega))\,\mathbb{P}(d\omega) = \int_\Sigma g(x)\,\mathbb{P}_X(dx).$$

This is the workhorse of probability. If X has a probability density function $f_X(x)$ on $\mathbb{R}$, this simplifies to the familiar Riemann integral:

$$\mathbb{E}[g(X)] = \int_{-\infty}^{\infty} g(x) f_X(x)\,dx.$$

3.4 L^p Spaces and Moments

Definition 3.4 (L^p Spaces)**.** For $p \geq 1$, the space $L^p(\Omega, \mathcal{F}, \mathbb{P})$ consists of all random variables X such that $|X|^p$ is integrable:

$$\mathbb{E}[|X|^p] < \infty.$$

The norm is defined as $\|X\|_p = (\mathbb{E}[|X|^p])^{1/p}$.

- L^1: Finite mean.
- L^2: Finite variance. This is a Hilbert space with inner product $\langle X, Y \rangle = \mathbb{E}[XY]$.

Definition 3.5 (Variance and Covariance)**.** For $X, Y \in L^2(\Omega)$, the **covariance** is:

$$\mathrm{Cov}(X, Y) := \mathbb{E}[(X - \mathbb{E}[X])(Y - \mathbb{E}[Y])] = \mathbb{E}[XY] - \mathbb{E}[X]\mathbb{E}[Y].$$

The **variance** is $\mathrm{Var}(X) := \mathrm{Cov}(X, X) = \mathbb{E}[X^2] - (\mathbb{E}[X])^2$.

3.5 Common Distributions

3.5.1 Discrete Distributions

1. **Binomial Distribution** $B(n, p)$: Describes the number of successes in n independent Bernoulli trials with probability p. Support: $\{0, 1, \ldots, n\}$.

$$\mathbb{P}(X = k) = \binom{n}{k} p^k (1-p)^{n-k}.$$

2. **Poisson Distribution** $\mathcal{P}(\lambda)$: Describes rare events occurring at a known constant rate λ. Support: $\mathbb{N} = \{0, 1, 2, \ldots\}$.

$$\mathbb{P}(X = k) = e^{-\lambda} \frac{\lambda^k}{k!}.$$

3.5.2 Continuous Distributions

1. **Uniform Distribution** $\mathcal{U}(a, b)$: Constant probability density over an interval. Support: $[a, b]$.

$$\mathbb{P}_X(dx) = \frac{1}{b-a} \mathbb{1}_{[a,b]}(x)\, dx.$$

2. **Gaussian (Normal) Distribution** $\mathcal{N}(m, \sigma^2)$: The most important distribution due to the Central Limit Theorem. Support: $\mathbb{R}$. parameters: mean m, variance σ^2.

$$\mathbb{P}_X(dx) = \frac{1}{\sqrt{2\pi}\sigma} \exp\left(-\frac{(x-m)^2}{2\sigma^2}\right) dx.$$

3.6 Gaussian Vectors

A random vector $X = (X_1, \ldots, X_d)$ is a **Gaussian vector** if any linear combination of its components is a univariate Gaussian method.

$$\forall a \in \mathbb{R}^d, \quad a^T X = \sum_{i=1}^{d} a_i X_i \sim \mathcal{N}(\mu_a, \sigma_a^2).$$

This is a much stronger condition than simply saying each marginal X_i is Gaussian. The law is determined by the mean vector $\mu = \mathbb{E}[X]$ and the covariance matrix Σ, where $\Sigma_{ij} = \mathrm{Cov}(X_i, X_j)$.

Chapter 4

Independence and Convergence

4.1 Independence

Independence captures the intuitive idea that the outcome of one event does not influence the likelihood of another.

Definition 4.1 (Independence of Events)**.** Events $(A_\lambda)_{\lambda\in\Lambda}$ are **mutually independent** if for every finite sub-collection with indices $\lambda_1, \ldots, \lambda_k$, the probability of the intersection is the product of the probabilities:

$$\mathbb{P}\left(\bigcap_{j=1}^{k} A_{\lambda_j}\right) = \prod_{j=1}^{k} \mathbb{P}(A_{\lambda_j}).$$

Warning: Pairwise independence does NOT imply mutual independence. (Example: Bernstein's counterexample).

Definition 4.2 (Independence of σ-algebras)**.** Sub-σ-algebras $\mathcal{G}_1, \ldots, \mathcal{G}_n \subset \mathcal{F}$ are independent if for any choice of events $A_i \in \mathcal{G}_i$:

$$\mathbb{P}\left(\bigcap_{i=1}^{n} A_i\right) = \prod_{i=1}^{n} \mathbb{P}(A_i).$$

Definition 4.3 (Independence of Random Variables)**.** Random variables (X_λ) are independent if their generated σ-algebras $\sigma(X_\lambda) = X_\lambda^{-1}(\mathcal{G})$ are independent.

4.2 Modes of Convergence

In analysis, a sequence of numbers converges to a limit. In probability, since the random outcomes depend on ω, there are multiple ways to define "closeness" to a limit random variable Y.

Let $(Y_n)_{n\geq 1}$ and Y be random variables.

4.2.1 Almost Sure Convergence (a.s.)

Pointwise convergence for "almost all" outcomes.

$$Y_n \xrightarrow{\text{a.s.}} Y \iff \mathbb{P}\left(\{\omega : \lim_{n\to\infty} Y_n(\omega) = Y(\omega)\}\right) = 1.$$

This is the strongest form of pointwise convergence.

4.2.2 L^p Convergence

Convergence in the mean of the p-th power difference.

$$Y_n \xrightarrow{L^p} Y \iff \|Y_n - Y\|_p = (\mathbb{E}[|Y_n - Y|^p])^{1/p} \to 0.$$

Implies L^q convergence for any $q < p$ (by Hölder's inequality).

4.2.3 Convergence in Probability

The probability of observing a significant difference goes to zero.

$$Y_n \xrightarrow{\mathbb{P}} Y \iff \forall \epsilon > 0, \quad \mathbb{P}(|Y_n - Y| > \epsilon) \to 0.$$

Relations:

- $L^p \implies$ Probability (Markov inequality).
- Almost Sure $\implies$ Probability.
- The converses are generally false (though Probability $\implies$ a.s. along a subsequence).

4.2.4 Convergence in Law (Distribution)

Only the distributions approach the limit distribution. The random variables themselves might not be close.

$$Y_n \xrightarrow{\text{law}} Y \iff \mathbb{E}[f(Y_n)] \to \mathbb{E}[f(Y)] \quad \text{for all bounded continuous } f.$$

Also denoted as $\implies$ or $\xrightarrow{\mathcal{D}}$. This is the weakest form of convergence.

4.3 Limit Theorems

Let (X_n) be a sequence of independent and identically distributed (i.i.d.) random variables.

Theorem 4.1 (Strong Law of Large Numbers). *If $X_1 \in L^1$ (measurable mean $m = \mathbb{E}[X_1]$), then the empirical average converges almost surely to the theoretical mean:*

$$\bar{X}_n = \frac{1}{n}\sum_{i=1}^{n} X_i \xrightarrow{a.s.} m.$$

Theorem 4.2 (Central Limit Theorem). *If $X_1 \in L^2$ (finite variance $\sigma^2 = Var(X_1)$), then the standardized sum converges in law to a standard Gaussian:*

$$\frac{\sqrt{n}(\bar{X}_n - m)}{\sigma} = \frac{\sum_{i=1}^{n}(X_i - m)}{\sigma\sqrt{n}} \xrightarrow{law} \mathcal{N}(0,1).$$

This explains the ubiquity of the Normal distribution in finance (returns aggregation).

Chapter 5

Conditional Expectation

Conditional expectation is arguably the most important concept in mathematical finance, as prices of fair assets are modeled as conditional expectations of their future payoffs under a specific measure (martingales).

5.1 Conditional Expectation in L^1

The elementary definition $\mathbb{E}[X|Y=y] = \sum x\mathbb{P}(X=x|Y=y)$ works for discrete variables but fails for continuous ones because $\mathbb{P}(Y=y)=0$. The rigorous definition relies on σ-algebras and measurability.

Theorem 5.1 (Existence and Uniqueness). *Let $(\Omega, \mathcal{F}, \mathbb{P})$ be a probability space and let $X \in L^1(\Omega, \mathcal{F}, \mathbb{P})$. Let $\mathcal{G} \subseteq \mathcal{F}$ be a sub-σ-algebra (representing "partial information").*

*There exists a **unique** random variable Z, denoted by $\mathbb{E}[X|\mathcal{G}]$, such that:*

1. ***Measurability**: Z is $\mathcal{G}$-measurable.*
2. ***Partial Averaging Property**: For every bounded $\mathcal{G}$-measurable random variable H (or equivalently for all $A \in \mathcal{G}$):*

$$\mathbb{E}[ZH] = \mathbb{E}[XH] \quad \left(i.e., \int_A Z\, d\mathbb{P} = \int_A X\, d\mathbb{P} \right).$$

*This Z is called the **conditional expectation** of X given $\mathcal{G}$.*

Uniqueness holds $\mathbb{P}$-almost surely.

Remark 5.2. If $\mathcal{G} = \sigma(Y)$ covers the information provided by observing a random variable Y, we write $\mathbb{E}[X|Y]$.

5.2 Key Properties

Let $X, Y \in L^1$ and $\mathcal{G}, \mathcal{H}$ be sub-σ-algebras.

Proposition 5.3. *The conditional expectation satisfies:*

1. ***Linearity**: $\mathbb{E}[aX + bY|\mathcal{G}] = a\mathbb{E}[X|\mathcal{G}] + b\mathbb{E}[Y|\mathcal{G}]$.*

2. ***Positivity:*** *If $X \geq 0$ a.s., then $\mathbb{E}[X|\mathcal{G}] \geq 0$ a.s.*

3. ***Taking out what is known:*** *If Y is $\mathcal{G}$-measurable and $XY \in L^1$, then:*

$$\mathbb{E}[XY|\mathcal{G}] = Y\mathbb{E}[X|\mathcal{G}].$$

4. ***Tower Property*** *(Iterated Conditioning): If $\mathcal{H} \subset \mathcal{G}$ (less information in $\mathcal{H}$), then:*

$$\mathbb{E}[\mathbb{E}[X|\mathcal{G}]|\mathcal{H}] = \mathbb{E}[X|\mathcal{H}].$$

   Evaluating the best guess of a best guess yields the coarser guess.

5. ***Independence:*** *If X is independent of $\mathcal{G}$, then $\mathbb{E}[X|\mathcal{G}] = \mathbb{E}[X]$.*

6. ***Full Information:*** *If X is $\mathcal{G}$-measurable, then $\mathbb{E}[X|\mathcal{G}] = X$.*

7. ***Jensen's Inequality:*** *If $\phi : \mathbb{R} \to \mathbb{R}$ is convex, then $\phi(\mathbb{E}[X|\mathcal{G}]) \leq \mathbb{E}[\phi(X)|\mathcal{G}]$.*

5.3 Geometric Interpretation in L^2

If we restrict ourselves to $L^2(\Omega, \mathcal{F}, \mathbb{P})$, the space is a Hilbert space. The set of $\mathcal{G}$-measurable random variables in L^2, denoted $L^2(\mathcal{G})$, is a closed linear subspace of $L^2(\mathcal{F})$.

Theorem 5.4 (Orthogonal Projection)**.** *For $X \in L^2(\mathcal{F})$, the conditional expectation $\mathbb{E}[X|\mathcal{G}]$ is the* ***orthogonal projection*** *of X onto the subspace $L^2(\mathcal{G})$.*

$$\mathbb{E}[X|\mathcal{G}] = argmin_{Z \in L^2(\mathcal{G})} \|X - Z\|_2 = argmin_{Z \in L^2(\mathcal{G})} \mathbb{E}[(X - Z)^2].$$

Using Hilbert space geometry, this means the error $X - \mathbb{E}[X|\mathcal{G}]$ is orthogonal to every vector in the subspace $L^2(\mathcal{G})$:

$$\langle X - \mathbb{E}[X|\mathcal{G}], Z \rangle = 0 \quad \forall Z \in L^2(\mathcal{G}).$$

This interprets the conditional expectation as the "best Mean-Square estimator" of X given the information $\mathcal{G}$.

5.4 Gaussian Regression

A powerful application of the L^2 projection view is in Gaussian vectors.

Theorem 5.5. *Let $(Y_1, \ldots, Y_n, X)$ be a Gaussian vector in L^2. We want to estimate X given observations $Y = (Y_1, \ldots, Y_n)^T$. The conditional expectation is linear in Y:*

$$\mathbb{E}[X|Y_1, \ldots, Y_n] = \mathbb{E}[X] + \lambda^T (Y - \mathbb{E}[Y])$$

where $\lambda = \Sigma_Y^{-1} Cov(X, Y)$. Here, Σ_Y is the covariance matrix of Y, and $Cov(X, Y)$ is the vector of covariances between X and each Y_i.

Moreover, the residual error $X - \mathbb{E}[X|Y]$ is independent of $\sigma(Y)$ (a specific property of Gaussianity; essentially orthogonality implies independence for Gaussians).

Chapter 6

Equivalent Probability Measures and Change of Measure

In finance (Girsanov Theorem), we frequently move between the "historical" or "physical" measure $\mathbb{P}$ and a "risk-neutral" measure $\mathbb{Q}$.

6.1 Radon-Nikodym Derivative

Definition 6.1 (Radon-Nikodym Density)**.** Let $\mathbb{P}$ be a reference probability measure. Let Z be a non-negative random variable ($Z \geq 0$ a.s.) with $\mathbb{E}_{\mathbb{P}}[Z] = 1$. We can define a new probability measure $\mathbb{Q}$ by weighing the outcomes by Z:

$$\mathbb{Q}(A) := \int_A Z(\omega)\, d\mathbb{P}(\omega) = \mathbb{E}_{\mathbb{P}}[\mathbb{1}_A Z], \quad \forall A \in \mathcal{F}.$$

The variable Z is called the **Radon-Nikodym derivative** (or density) of $\mathbb{Q}$ with respect to $\mathbb{P}$. We write:

$$Z = \frac{d\mathbb{Q}}{d\mathbb{P}}.$$

6.1.1 Relationship between Expectations

For any random variable X: - $X \in L^1(\mathbb{Q})$ iff $XZ \in L^1(\mathbb{P})$. - The expectation transforms as:

$$\mathbb{E}_{\mathbb{Q}}[X] = \mathbb{E}_{\mathbb{P}}[XZ].$$

6.2 Absolute Continuity and Equivalence

Definition 6.2 (Absolute Continuity)**.** A measure $\mathbb{Q}$ is **absolutely continuous** with respect to $\mathbb{P}$ (denoted $\mathbb{Q} \ll \mathbb{P}$) if $\mathbb{P}(A) = 0 \implies \mathbb{Q}(A) = 0$. Intuitively, "impossible" events under $\mathbb{P}$ must remain "impossible" under $\mathbb{Q}$.

Definition 6.3 (Equivalent Measures)**.** Measures $\mathbb{P}$ and $\mathbb{Q}$ are **equivalent** ($\mathbb{P} \sim \mathbb{Q}$) if $\mathbb{Q} \ll \mathbb{P}$ and $\mathbb{P} \ll \mathbb{Q}$. They agree on which events are possible (have probability > 0) and which are impossible.

Theorem 6.1 (Radon-Nikodym Theorem)**.** *If $\mathbb{Q} \ll \mathbb{P}$, there exists a unique measurable function $Z \geq 0$ such that $d\mathbb{Q} = Z d\mathbb{P}$. If $\mathbb{Q} \sim \mathbb{P}$, then strictly $Z > 0$ almost surely.*

6.3 Conditional Bayes Formula/Kallianpur-Striebel

How does conditional expectation change when we change the measure? This is crucial for pricing (computing $\mathbb{E}^{\mathbb{Q}}[\ldots|\mathcal{F}_t]$).

Theorem 6.2 (Conditional Bayes Formula)**.** *Let $\mathbb{Q} = Z \cdot \mathbb{P}$. Let $\mathcal{G} \subset \mathcal{F}$ be a sub-σ-algebra. For any $X \in L^1(\mathbb{Q})$:*

$$\mathbb{E}_{\mathbb{Q}}[X|\mathcal{G}] = \frac{\mathbb{E}_{\mathbb{P}}[XZ|\mathcal{G}]}{\mathbb{E}_{\mathbb{P}}[Z|\mathcal{G}]}.$$

Intuition: The "local" density on the subspace given by $\mathcal{G}$ is represented by the conditional expectation of Z. We must re-normalize by this local density.